persuaded FBI director William Webster to take the job at CIA, and we found another job for Howard Baker.

It has been reported that I replaced Don Regan as White House chief of staff because I thought he did not do a good job of "protecting" me from political damage during the Iran-Contra problem—but in fact I never felt that way, and Iran-Contra had nothing to do with his replacement. I had appointed Don secretary of the treasury on the advice of some of the members of my old Kitchen Cabinet in California; they'd called him a wizard on economic matters. He had gone on to do an outstanding job at the Treasury Department, especially by helping get tax reform off the ground and in winning Wall Street's support of the economic recovery program; he was one of the strongest advocates in the cabinet for sticking with the economic recovery program after David Stockman and others began urging me to abandon it. But I was to learn that I had created some problems when I appointed him to succeed Jim Baker as White House chief of staff.

As I've mentioned, being president sometimes isolates you from events going on right around you: Many people are reluctant to tell you things that they think might cause you worries; some believe you only want to hear "good" news. Many in the administration were less reluctant to speak up to Nancy about troublesome matters—I guess they knew she had my ear—and I'd discovered long before I got to the White House that she was gifted with a special instinct that helped her understand the motives of some people better than I did. In a way, she gave me an extra set of eyes and ears.

I learned from Nancy and then from others that many people—staff members, cabinet members, and congressional leaders—felt that Don had an oversized ego that made him difficult to deal with. Because of the way he treated people, I was told, morale was bad among the staff.